

maintains that injustice arises from the nature of the transaction not the awareness of the parties.

Thus, any similarity between the corporate exception and the distinguishing of business capital investment is merely superficial. The corporate exception was only another embodiment of the subjectivist approach to usury. Like subjectivist-inspired rate regulation, the approach did not attempt to maintain adherence to the basic principle of justice contained in the millennia-old usury doctrine. It merely observed the effects of usury on some members of society and drew arbitrary lines, either 5% or 17% or at the filing desk for incorporation.

Conclusion

The debates in the sixteenth century gave rise to two schools of thought. After a period of consideration, the objectivist approach was taken up by the Church. Benedict XIV and the 1917 Code of Canon Law reaffirmed that objective usury principles contained in divine law and natural law remain applicable today. Yet, in light of modern complexities that obscure the substance of many transactions, the Church has withdrawn from detailed determinations at the universal jurisdictional level, leaving them to individuals and confessors. This scope for decision making is similar to the scope allowed in just price doctrine. Yet, the principle remains that profit on a loan is unjust under natural law and divine law and remains unjust and immoral even if undetected under the fog of modern complexities.

The government of the United States remained on the path charted by England: subjectivist rate regulation. Notwithstanding democratic votes to maintain prohibitions on excessive usury, federal preemption by the Supreme Court and Congress has rendered state usury limitations a dead letter. Today virtually any loan can be made at any rate with the right legal advice and structuring. Thus, while the Church has given a wider breathing space in her legislation, she has also maintained that this freedom is due only to the difficulty in distinguishing usury from legitimate profit today. Furthermore, she has insisted that individuals use this breathing space in light of the traditional doctrine. In reality, the United States has given up the struggle entirely and left the field open. This choice was not even made democratically. Usury law was repealed surreptitiously by the Supreme Court and Congress.

CHAPTER SIX

The Home Mortgage Market and the Financial Crisis

Those who cannot remember the past are condemned to repeat it.

— George Santayana,
The Life of Reason; Or the Phases of Human Progress

IN 2008, a crisis in the subprime mortgage market exploded into a systemic financial crisis. Several major and supposedly indestructible figures of American finance either collapsed (Lehman Brothers) or survived only by unprecedented government intervention (AIG). Analysts and pundits alike seemed on a quest to outdo each other in using dramatic phrases to describe the mortgage crisis's historic proportions. The causes of a crisis so large must be numerous, lying in the realms of bank regulation and supervision, the operation and regulation of the securitization market, and the deregulation of the derivatives and insurance markets. Yet, the root and spark of the various financial reverberations initiated in the home mortgage finance market. This chapter will focus on this central cause to look for an explanation of what went wrong. In a general sense, St. Thomas Aquinas predicted the systemic freezing of the financial system that we witnessed when he predicted that in a society where unjust exchange transactions dominate, eventually all exchanges will cease.¹ We have seen that the traditional usury doctrine is aimed at identifying and restricting

¹ See Thomas Aquinas, *Commentary on the Nicomachean Ethics*, bk. 5, lect. 9, p. 423, trans. C. I. Litzinger (Henry Regnery Co., 1964) (ca. 1271) (arguing that without just exchange, no exchange will happen and that exchange is needed for society).

unjust transactions. With the widespread abandonment of usury doctrine by American law in the past few centuries, unjust loan transactions have proliferated. The recent financial crisis that originated in the home buying market is a consequence of this abandonment. Although other factors certainly contributed to its breadth and expansion, unjust financial transactions are the root of the problem.

For some time now, at various levels of American society, people have been recognizing a problem with our system of financing home ownership. Members of Congress have introduced bills proposing that bankruptcy judges be empowered to revise mortgage loans.² Prominent academics are proposing new regulation of the mortgage market.³ But amid this activity, there lacks a comprehensive normative measure for evaluating the system as a whole. This deficiency does not necessarily mean that all of the proposed reforms lack merit. Yet, the ongoing discussions are in need of an articulation of a normative yardstick with which to evaluate these proposals as well as the system they attempt to reform. We need to ask more fundamental questions than whether regulations should require a few more items of disclosure. Is it just for someone to make a profit from lending a homebuyer the money to buy necessary shelter? How do we even begin to evaluate the justice of such a system?

After describing the current system of housing finance, this chapter applies the principles of usury doctrine and related principles from the just price doctrine to the housing finance market. Since this market involves the financing of home purchases over time, the usury doctrine intersects with the just price doctrine discussed in chapter 3 in the area of credit sales (*venditio sub dubio*).

² See H.R. 3778, 110th Cong. § 2 (2007); S. 2133, 110th Cong. § 2 (2007); H.R. 3609, 110th Cong. § 2 (2007). After months of political wrangling and lobbying, this concept did not survive in the housing legislation passed by Congress. See Lori Montgomery, "Senate Approves Housing Package," *Washington Post*, April 11, 2008, D1. However, some consumer groups are still advocating the idea of allowing bankruptcy modification of home mortgages. See Pam Dawkins, "As Banking Chairman, Dodd Concentrates on Solutions to Subprime Woes," *Advocate* (Stamford, CT), April 24, 2008, 1.

³ See, for example, Oren Bar-Gill and Elizabeth Warren, "Making Credit Safer," *University of Pennsylvania Law Review* 157 (2008): 98–100 (proposing the creation of the "Financial Product Safety Commission").

The Home Mortgage Market

A home mortgage is a financial transaction whereby a person borrows funds from a bank or other financial institution that the person uses to finance the purchase of a residence.⁴ The borrower usually repays the amount borrowed over time on an amortization schedule, which allows for uniform monthly payment amounts.⁵ The borrower grants a mortgage on the property guaranteeing repayment of principal plus interest.⁶ Usually, the lender charges fees at the origination of the loan to cover costs of origination.⁷

The system for obtaining housing in America is rooted in the idea of borrowing. Over the twentieth century, the ideas of home and borrowing became inseparable. As of 2005, 67% of residential properties in America were subject to a mortgage-backed loan.⁸ By comparison, in 1920 only 39.7% of homes in the United States had mortgages,⁹ and in 1940 only 45.3% were mortgaged.¹⁰ The amount of home mortgage debt has accordingly been on the rise. In 1976, American households had \$517.0 billion of home mortgage debt, but by 2006, this figure had risen to \$10.055 trillion.¹¹

Mortgages can be divided into normal or prime mortgages and subprime. Subprime mortgages are generally described as loans to borrowers with credit impairments.¹² Common credit impairments include a Fair

⁴ See Joseph R. Bagby, *Real Estate Financing Desk Book* (Eaglewood Cliffs, N.J.: Institute for Business Planning, 1975), 24.

⁵ See *ibid.*, 28.

⁶ See *ibid.*, 31.

⁷ See *ibid.*, 24.

⁸ U.S. Census Bureau, "American Housing Survey for the United States: 2005," (2006), 156, table 3–15, available at www.census.gov/prod/2006pubs/h150-05.pdf, accessed November 6, 2012.

⁹ Bureau of the Census, Department of Commerce, "Mortgages on Homes: 1920" (1923), 41, table 1.6, available at www2.census.gov/prod/20decennial/documents/00551139no2ch2.pdf, accessed November 6, 2012.

¹⁰ Bureau of the Census, Department of Commerce, "Sixteenth Census of the United States: 1940" (1943), 23, table 20, available at www2.census.gov/prod/20decennial/documents/36911485v1p1ch1.pdf, accessed November 6, 2012.

¹¹ See *ibid.* See also Federal Reserve, "Flow of Funds Accounts of the United States: Flows and Outstandings, First Quarter 2011" (June 9, 2011), 9, available at www.federalreserve.gov/releases/z1/20110609, accessed November 6, 2012.

¹² See Frederick T. Furlong and John Krainer, "The Subprime Mortgage Market: National and Twelfth District Developments," 2007 Annual Report, Federal Reserve Bank of San Francisco (2008), 6, available at www.frbf.org/publications/federalreserve/annual/2007/2007annualreport.pdf, accessed November 6, 2012.

Isaac Corporation (FICO) credit score below 620, a lack of credit history, or a high debt-to-income ratio.¹³ Borrowers with these credit impairments have an increased risk of default, so they generally do not qualify for a prime mortgage.¹⁴ Many popular types of subprime mortgages give the borrower a low interest rate at origination that continues for the first two or three years, and then the rate resets to an adjustable rate, consisting of an index rate plus a margin percentage.¹⁵ The reset rate can increase the borrower's interest rate by as much as five percentage points.¹⁶

This class of mortgage is also characterized by interest rates that are higher than prime mortgage interest rates.¹⁷ Upon origination, the interest rates of a subprime mortgage are on average 2% higher than prime mortgage interest rates.¹⁸ From 1995 to 1998, the subprime origination interest rates were between 9% and 10%.¹⁹ Between 1999 and 2000, subprime interest rates rose to around 11%.²⁰ After peaking in 2000, they started to decline, leveling off at around 7.5% in 2004.²¹ Many popular types of subprime mortgages give the borrower a low interest rate at origination that continues for the first two or three years, and then the rate resets to an adjustable rate, consisting of an index rate plus a margin percentage.²² The reset rate can increase the borrower's interest rate by as much as five percentage points.²³

From 1994 to 2005, the aggregate amount of all subprime mortgage originations grew from \$35 billion to \$665 billion.²⁴ In 1994 the subprime

¹³ Edward J. Kirk, "The 'Subprime Mortgage Crisis': An Overview of the Crisis and Potential Exposure," RLI Executive Products Group (September 2007), 1, www.rli-epg.com/articles/subprime-mortgage-crisis.asp.

¹⁴ See *ibid.*, 1–2.

¹⁵ Sheila C. Bair, Op-Ed., "Fix Rates to Save Loans," *New York Times*, October 19, 2007, A25.

¹⁶ See *ibid.*

¹⁷ See Souphala Chomsisengphet and Anthony Pennington-Cross, "The Evolution of the Subprime Mortgage Market," *Federal Reserve Bank of St. Louis Review* 88 (2006): 33, fig. 1, available at research.stlouisfed.org/publications/review/06/01/JanFeb2006Review.pdf, accessed November 6, 2012.

¹⁸ See *ibid.*

¹⁹ See *ibid.*

²⁰ See *ibid.*

²¹ See *ibid.*

²² See Bair, "Fix Rates," A25.

²³ *Ibid.*

²⁴ Ellen Schloemer, Wei Li, Keith Ernst, and Kathleen Keest, "Losing Ground: Foreclosures in the Subprime Market and Their Cost to Homeowners," Center for

mortgage market comprised less than 5% of the overall mortgage market.²⁵ As of 2006, the subprime mortgage market made up 23% of the total mortgage market.²⁶ As documented in part II of this chapter, a significant portion of these new subprime borrowers could have qualified for lower rate prime mortgages. The phenomenal growth of the subprime market was therefore not just bringing credit to more borrowers not otherwise eligible for less expensive loans; it was driving up the costs of borrowing. As we saw with the *mons pietatis* in chapter 3, the more profit lenders can charge for loans, the greater share of the market they acquire, driving out lower priced loans. Contrary to claims that deregulation allows market forces to drive down prices, deregulation of consumer interest rates appears to have increased the percentage of the market paying higher prices.

Several theories exist that try to explain the recent crisis in the mortgage market. Most of the theories contain two common variables: the common structure of subprime mortgages and declining home prices.²⁷ While home prices continued to rise, borrowers were able to sell or refinance their homes before the lower origination rates became adjustable.²⁸ When home prices started to decrease in 2007, borrowers were unable to sell or refinance their homes before the teaser rates expired and their interest rates substantially increased.²⁹ As a result of the decreased home prices and resetting interest rates, many borrowers defaulted on their loans and were forced into foreclosure.³⁰

Home Mortgages in Light of Usury Doctrine

Usury doctrine asks the question, is such a financial system, where over two-thirds of home owners utilize a loan to obtain shelter, a just paradigm for people to acquire necessary shelter? Since borrowers use the loaned

Responsible Lending (December 2006), 7, www.responsiblelending.org/mortgage-lending/research-analysis/foreclosure-paper-report-2-17.pdf.

²⁵ See *ibid.*, and fig. 1.

²⁶ See *ibid.*

²⁷ See, for example, Bair, "Fix Rates" (describing how the two variables impact a fixed rate theory); Kirk, "Subprime Mortgage Crisis," 4 (discussing industry trends and economic and financial factors that "combined to create the current crisis").

²⁸ Bair, "Fix Rates."

²⁹ See Kirk, "Subprime Mortgage Crisis," 4.

³⁰ See *ibid.*

funds to obtain a nonwealth-producing asset, this question needs to be answered in light of the principles governing consumer loans. The discussion does not consider the financing of the construction or operation of commercial or agricultural properties. Such transactions should be considered as investments in businesses or productive assets.

A home mortgage is the lending of money for consumption. Once categorized this way, the usury doctrine requires that the loan be structured to compensate the lender for loss, not to provide a profit. As discussed in chapters 3 and 5, distinguishing compensation from profit is much more difficult in the modern context. Yet, at least at some level above the level of market (the subprime level), rates appear to be clearly above the level of compensation for loss. Given subprime rates ranging from 7.5% to 11% it would seem that these rates exceed the lenders' compensation for loss (including lost profit). These rates are in addition to an origination fee designed to cover the administrative cost of making the loan.³¹ Although some participants in the subprime market were devastated by the financial collapse, while it lasted subprime lending was profitable; in fact, it was more profitable than prime lending.³² Given the profits reaped by subprime mortgage lenders, I think it should be obvious that these loans included a charge in excess of cost recovery.

Evaluation of the justice of the system depends upon the details of the transactions. If lenders are charging no more than the return of the money loaned plus compensation for costs, then it is just. If the lenders are exacting a gain above such amount merely for the use of money, then it is unjust. It is common practice for the mortgage lender to charge origination fees to cover the cost of making the loan.³³ A detailed analysis of mortgage interest rates to determine the extent to which they exceed any actual unreimbursed costs after origination is beyond the scope of this chapter. Yet, I doubt anyone could seriously argue that the mortgage industry operates as a not-for-

³¹ See Chomsisengphet and Pennington-Cross, "Evolution of the Subprime Mortgage Market," 32.

³² See Kathleen C. Engel and Patricia A. McCoy, "Turning a Blind Eye: Wall Street Finance of Predatory Lending," *Fordham Law Review* 75 (2007): 2060–61. Many of those who bore the cost of the collapse were not the originators of the subprime loans since securitization allowed subprime lenders to "take the profits and run." See *ibid.*, 2049.

³³ Chomsisengphet and Pennington-Cross, "Evolution of the Subprime Mortgage Market," 32.

profit enterprise. As we have seen in chapter 2, the money loaned by banks is essentially created as needed to meet loan disbursement. How could a bank claim *lucrum cessans* or foregone profit on money that would not have existed but for the loan? Since it did not exist prior to the loan it seems disingenuous to argue that but for the loan the money could have been invested as capital in a business. Given the nominal length of mortgages, twenty or thirty years, the bank might claim a deterioration of the value of money through inflation as a cost of the loan. Again this conclusion could be questioned by the fact that, but for the loan, the money depreciating in value would not even exist and upon its repaying the money ceases to exist. Thus, is there really a loss to the lender due to inflation?

Assuming lenders charge all of the cash costs of mortgage origination (legal and documentary fees) to borrowers and using the federal funds rate as a quantification of the lenders' cost of funds,³⁴ we are left with the question of whether the spread over the federal funds rate represents merely a reimbursement of internal costs of carrying the transaction (e.g., accounting and monitoring costs) not already covered by the origination fees. Given an average federal funds rate of 3.44% from 2000 to 2007³⁵ and an average 30-year, fixed-rate home mortgage interest rate of 6.48%³⁶ (8.48% for subprime at origination³⁷), that leaves 3.04% as a charge for these costs (5.04% for subprime). On a \$100,000 loan, this equals an average of \$3,040 for such costs (\$5,040 for subprime) over the first year alone.

Further, a few recent studies indicate that a significant percentage of those borrowing in the subprime segment of the market were paying fees and interest rates above those offered by other lenders. A study conducted

³⁴ In fact, using the federal funds rate may overestimate the costs of capital given that fractional reserve banking allows a bank to lend a multiple of the funds it has on deposit. Banks can thus spread the cost of funds over multiple transactions.

³⁵ See "Federal Reserve Statistical Release-Historical Data," available at www.federalreserve.gov/releases/h15/data.htm, accessed March 1, 2009 (locate "Federal funds (effective)" under "Instruments"; then follow "Annual" hyperlink).

³⁶ "Weekly Primary Mortgage Market Survey," Freddie Mac, available at www.freddiemac.com/pmms/pmms30.htm, accessed March 1, 2009.

³⁷ This figure is extrapolated from the fact that subprime rates at origination (excluding future increases) are on average two percentage points higher than the interest rates on prime rate mortgages. See Chomsisengphet and Pennington-Cross, "Evolution of the Subprime Mortgage Market," 31; 33, fig. 1; and text accompanying footnote 19 of this chapter.

by a community interest group of an industry participant, Citibank, found that at least 40% of those who obtained high interest rates subprime mortgages would have qualified for prime rate loans.³⁸ A Freddie Mac and Fannie Mae estimate, finding that between 35% and 50% of subprime borrowers could have qualified for lower rate loans, confirms this analysis.³⁹ A study conducted for the *Wall Street Journal* showed that from 2000 to 2006, 55% of subprime mortgages went to borrowers with credit scores that would have qualified them for lower-cost mortgages.⁴⁰ Although these studies do not prove that all borrowers have been paying more than cost compensation, they at least suggest that a significant portion of them are paying more than other lenders are charging; this strongly suggests the payment of gain or usury. This trend correlates to what happened to the *mons pietatis*: higher-cost lenders tend to drive lower-cost lenders out of the market (or at least co-opt them into higher cost lenders themselves).

Mortgages and Just Price Doctrine—Another Perspective

The just price doctrine presents an opportunity to consider the mortgage market from another perspective. Although our culture has become accustomed to calling the mortgagor of a property the owner, to what extent does one really “own” a house subject to a mortgage? Ownership is “[t]he bundle of rights allowing one to use, manage, and enjoy property, including the right to convey it to others.”⁴¹ Yet, one who has acquired a home subject to a mortgage does not possess the right to do these things absolutely; the right is contingent upon repayment of the loan supported by the mortgage plus required fees. If one doubts the restriction on ownership, consider the result of attempting to convey the property without discharging the mortgage. The rights of the home owner can better be described as contingent ownership, or “[o]wnership in which title is imperfect but is capable of becoming perfect on the fulfillment of some condition.”⁴²

³⁸ See Lew Sichelman, “Community Group Claims CitiFinancial Still Predatory,” *Origination News*, January 2002, 25.

³⁹ See Lauren E. Willis, “Decisionmaking and the Limits of Disclosure: The Problem of Predatory Lending: Price,” *Maryland Law Review* 65 (2006): 730, n. 73.

⁴⁰ Rick Brooks and Ruth Simon, “Subprime Debate Traps Even Very Credit-Worthy,” *Wall Street Journal*, December 3, 2007, A1.

⁴¹ *Black’s Law Dictionary*, 8th ed., 1138.

⁴² *Ibid.*

Economically, a mortgage-financed home purchase is a credit sale of property by the mortgagee. A typical home mortgage could be recharacterized as the bank purchasing the property and then agreeing to resell it to the borrower at a higher price (the amount of the mortgage plus interest, in the modern sense of this word) with the price being paid at a future date (the maturity date of the mortgage). The fact that a lender requires its borrower to pay some of the purchase price quickly (by only financing 80% or 90% of the price) does not alter this recharacterization. In fact some loans require no down payment. Although the bank does not take record legal ownership in our current legal system, economically the two forms are identical in substance.⁴³ The lender is entitled to enforce the sale of the property to the borrower at a predetermined price that varies depending on the exact time of completion of the purchase (or, in current legal terms, at maturity or prepayment) regardless of the real value of the house at the time of repayment. If the borrower does not pay by the time required, the lender generally has a right to use the force of law to force payment of the price by selling the house and pursuing the borrower for any deficiency still owing.⁴⁴

Recharacterized in this way, the just price doctrine and its intersection within usury doctrine under the heading of *venditio sub dubio*⁴⁵ can be used to evaluate the normative justice of the standard terms of such transactions. First, there must be genuine doubt that the current price of the residential property will be the same at the time of repayment.⁴⁶ Second, the total price (meaning the total amount paid by the borrower to the lender, including fees, interest, charges, and points) must not be so great as to clearly exceed a reasonable estimate of the just price of the property at the time of payment plus the costs of entering into the transaction (legal and documentary fees).⁴⁷ A

⁴³ Such a recharacterization of the legal form of a mortgage into its economic reality is similar to the recharacterization of certain transactions that in form appear to be leases into a sale financed by a retained security interest. See U.C.C. §§ 1-203, 9-109(a)(1) (2001).

⁴⁴ The general rule is that a lender may sue for any deficiency between the amount owed and the sale price obtained for the home. A few states limit this general rule by restricting in whole or in part the deficiency. See, for example, Arizona’s two statutes: A.R.S. §§ 33-729(A) and 33-814(G).

⁴⁵ See chapter 4.

⁴⁶ See chapter 4.

⁴⁷ See chapter 4.

Table 1. Equivalent percentage increase of total payments above original home price for 6% and 10% fixed interest rates

Annual fixed interest rate (%)	Years of amortization	Total payments to lender	Equivalent percentage increase of total payments over original price of the home (%)
6	30	\$216,850	116.85
6	15	\$152,890	52.89
10	30	\$316,930	216.93
10	15	\$194,425	94.43

few simple examples will illustrate the analysis. A agrees to buy a home from B for \$100,000 and obtains from C a 100% mortgage at the rates described in Table 1, amortized over the indicated periods. In each case, C charges a 1% origination fee and requires reimbursement of transaction costs, assuming that C only passes through the actual cash cost and thus receives no net benefit from these payments.

The final column in Table 1 shows the rate of increase in the price of the property paid to the mortgagee over the life of the payments on the credit sale.⁴⁸ The just price doctrine then asks whether such percentage increases in the price of the property are reasonable estimations of the likely increase in the just price over the payment period. These percentages dwarf the historical rate of increase of housing prices. U.S. home prices increased a total of only 10% from 1975 to 1995.⁴⁹ From 1995 to 2004, housing prices appreciated at a more rapid annual rate of 3.6% (still significantly below annual home mortgage interest rates), or cumulatively around 40% for the entire 30-year period.⁵⁰ Following further rapid appreciation, the current decline in housing prices seems to have begun with a decrease in prices of 1.3% over the course of 2007.⁵¹ The average

⁴⁸ This assumes the original \$100,000 was the just price at the starting point.

⁴⁹ See Charles Himmelberg, Christopher Mayer, and Todd Sinai, "Assessing High Housing Prices: Bubbles, Fundamentals and Misperceptions," *Journal of Economic Perspectives* (Fall 2005), 67.

⁵⁰ *Ibid.*

⁵¹ Office of Policy Development and Research, U.S. Department of Housing and Urban Development, "U.S. Housing Market Conditions: 1st Quarter, 2008" (2008), 70, table 9, available at www.huduser.org/portal/periodicals/ushmc/spring08/index.html.

price of new homes sold during the first quarter of 2011 was down 6% from the first quarter of 2010.⁵² The average price of existing homes sold in the first quarter of 2011 was down 3% from the first quarter of 2010. Such simple calculations generally suggest that lenders price some mortgages at a level in excess of what is a reasonable estimation of increased prices based on historical data. Under the requirements of *venditio sub dubio*, the credit sale is for more than the reasonably estimated variation in the just price and thus a disguised loan at usury.

The usury and just price doctrines present some fundamental criticisms of the system our country has developed over the past century for the acquisition of housing. The system assumes that in order to acquire housing, people should transfer a portion of their future wealth to the class of our society holding excess wealth. Instead of investing this excess wealth in production of new wealth, firms lend the money out at what appears to be usury so that Americans can possess a nonwealth-producing asset: a home. Such a result is one of the effects of pervasive usury noted by Pope Innocent IV many centuries ago: usurious lending diverts business investment away from production to consumption.⁵³ In this light, Catholic usury doctrine is actually beneficial to the economy by discouraging such a diversion of resources away from investment in productive business. Although we cannot conclude that every mortgage involves a violation of commutative justice by exceeding the compensation to the lender for costs and unjust wealth redistribution, it appears likely that many mortgages do. The principles of usury doctrine present a framework for considering the regulation of mortgage rates. As consumption loans, the charges involved should be measured by their relation to compensation for cost rather than by their relation to pure profit for the use of the money loaned.

Just price doctrine—and its intersection with usury doctrine when dealing with credit sales—offers an opportunity for thinking about home mortgages in a new light. Considered as purchases by the lender and a delayed credit sale to the borrower, just price doctrine asks if the price (total payments made by borrower to lender) can be justified. Again, although the

⁵² Office of Policy Development and Research, U.S. Department of Housing and Urban Development, "U.S. Housing Market Conditions: 1st Quarter, 2011" (2011), 15, available at www.huduser.org/portal/periodicals/ushmc/spring11/index.html, accessed November 6, 2012.

⁵³ See chapter 3, note 116 and accompanying text.

details need more analysis, this idea presents a normative paradigm of evaluation. Do the amounts charged bear a reasonable relation to the estimated increases in home prices of residential property over time?

Even if we have not had time to find all the answers to these questions, I hope this chapter suggests a consistent and coherent theory for asking and evaluating these questions. Regardless of whether the financial bailout of the banking system was prudentially necessary to stabilize the larger economy, a solution that merely saves the financial institutions that engaged in unjust transactions will not bring a long term solution to our nation's financial problems. As St. Thomas Aquinas commented, exchange and commerce are necessary for a community, but the economy they support can only achieve long-term stability if the individual transactions supporting it are just and equitable.⁵⁴ The recent financial crisis can serve as a reminder of the dangers inherent in violating this law of nature. Importantly, Aquinas further noted that human law does not always prohibit all that the natural law forbids.⁵⁵ Yet we cannot escape the consequences of transgressing the higher law, which leaves "nothing unpunished."⁵⁶ Unjust exchanges require restitution, not merely financial bailouts and future regulation. But even the higher law recognizes that there is a matter of prudence and degree in evaluating the injustice of particular transactions, and due to the estimation necessary in assessing value and costs, a "slight addition" does not render the transaction unjust.⁵⁷ Thus, with this caveat in mind, we cannot conclude that all mortgages have transgressed commutative justice. As did Roman law before us, we need to select a line of demarcation between slight variation and considerable. Human law then needs to provide for restitution to those unjustly treated and to restructure the regulatory system in light of the principles of usury and just price doctrine. Only when the method for home acquisition is returned to these historical principles of justice, and just exchanges again dominate, will our financial markets achieve enduring stability.

⁵⁴ *ST II-II*, q. 77, a. 1, ad. 1.

⁵⁵ *Ibid.*

⁵⁶ *Ibid.*

⁵⁷ *Ibid.*

CHAPTER SEVEN

Redeeming Our Future

THE modern economy is permeated by usury at all levels. Very few people think about the injustice of so-called interest charges on loans even as they sign up for credit cards with double digit annual percentage rates. The very word "interest" has lost any trace of its original meaning of compensation. Usury may be one of those things that has become so pervasive that hardly anybody even notices its presence. As Hilaire Belloc noted in the mid-twentieth century:

[T]oday Usury works side by side with legitimate profit, and, confused with it, has become universal throughout what used to be Christian civilization. It is taken for granted that every loan shall bear interest, without inquiring whether it be productive or unproductive. . . .

As long as its [usury's] impoverishing effects are masked or counterbalanced by stronger forces at work, they are neglected. But they are in existence all the same, and always active. To know that a truth is there, even when it is hidden, is of great practical use; such knowledge is a thing to be kept in reserve for action when the critical hour comes in which it must be applied.¹

Although the effects of usury remain as masked today as in the time of Belloc, they are still with us all the time, in bankruptcy filings, mounting levels of consumer and government debt, housing market collapses, and financial crises. The causes may remain masked, but the effects are on the front pages

¹ Hilaire Belloc, "On Usury," in *Essays of a Catholic*, catholictradition.org/Classics/belloc2-2.htm.

of daily newspapers. We may be approaching that critical hour when a restoration of principles is necessary for our very economic survival. Is it not time that we penetrate behind the economic veil and reconsider these too long neglected truths? Why have we come such a distance from the ideas of credit and money embodied in the usury doctrine universally accepted for over a millennium and a half? Could not this departure from such an ancient moral doctrine be at least part of the reason for our economic difficulties?

The traditional Catholic usury doctrine based on natural law and revelation and its further elaboration in the sixteenth and seventeenth centuries through the objectivist approach is often dismissed on a superficial level.² The usury doctrine as it developed was certainly complex and involved many points of fine distinction, but the complexity and distinctions were developed to preserve several fundamental principles at the core of the doctrine. Of prime importance among these was the principle that usury is a matter of objective commutative justice; certain types of transactions are unjust regardless of motive or intent. Differences in the rate of usury were merely matters of degree of the injustice involved.

One difficulty we face in evaluating the long history of usury doctrine is that the details of the application of the principles developed over a long period of time. The process can be analogized to the development of English Common Law. Each developed over centuries in reaction to specific factual questions. New decisions in detail were not always made by formulating theories and principles but by deciding whether specific situations constituted usury. The principles are not always clearly annunciated and must be discerned by examining the development (often in fits and starts) over the centuries. This process was complicated by the introduction of the novel, intention-based rationales and the lack of clear lines of demarcation between these two approaches (particularly as to the end result). The subjectivist approach eventually leads to either the abandonment of all usury regulation or a compromise rate regulation without any logical rationale for the rate selected. Although it is possible that some thinkers who contributed to the process were merely attempting to rationalize the legitimacy

² Kevin W. Brown and Kathleen E. Keest, *Usury and Consumer Credit Regulation* (New York: Grolier Academic Reference, 1987), § 2.2.1 (describing the Scholastic theory as "mainly twisted logical explanations, convenient doctrines and clever legal fictions"). See also Mark H. Leymaster, *Consumer Usury and Credit Overcharges* (Boston: National Consumer Law Center, 1982), § 3.3.

of existing or evolving business practices (we certainly cannot see or let alone judge the secret motives of people writing hundreds of years ago), it is also possible to explain the history in terms of a struggle to prevent the wholesale abandonment of principles essential to natural justice in search of practical simplicity. It would have been simpler to either condemn all transactions remotely resembling a loan for profit or, on the other extreme, approve any and all transactions. Throughout history there are examples of different people falling into one or the other of these extremes. Yet, a more complex answer preserves the existence of the underlying principles in the context of more complicated economic realities.

In this final chapter we will draw together the essential principles that can be inductively discovered in the details of the development of usury doctrine over the centuries. These principles will be explained systemically in two major categories: consumer and business finance. Throughout this final chapter, we will consider some suggestions for reforming our laws and ultimately our economic system so as to redeem it from the slavery of injustice.

Synthesis of Usury Doctrine

Usury is a matter of commutative justice based upon the nature of money. It is therefore not a policy matter of economic utility for society or certain socio-economic sections of society. Although people have been aware for centuries of the harmful effects of usury on the poor and the community at large (usury's negative impact on distributive justice), these observations do not comprise the dominant rationale for usury doctrine but merely confirm the injustice wrought by usury. Requiring a borrower to place the lender in a better position than the lender was in before the loan is unjust to the borrower. Pervasive economic injustices will reverberate eventually in societal consequences. Recognition of the injustice of usury was based not only on divine revelation but also on a rational consideration of the nature of money and its functions. Money as a medium of exchange can only be valued by the use to which it is put. Unlike the exchange of money for goods or services, the simple exchange of money for money (in the same currency at least) involves an equal exchange. To charge more than this parity constitutes an unjust exchange.

A distinction was recognized at least implicitly from the earliest considerations that the use of money to expand productive economic activity was

fundamentally different from the use of money to buy consumable goods. One providing the medium of exchange used to acquire productive goods (regardless of whether it was provided directly to a business, as in a *societas*, or by purchasing an interest in a productive asset or pools thereof, as in a *census*) was justified in requiring a share in the fruits of that venture or asset. The amount of that return was not completely a matter of ambivalence, as it should be subject to the just price doctrine, but is within such bounds a matter of private agreement based on the common estimation of the potential productive value of the business or assets. Significantly, the amount of return from such investment is not subject to the usury doctrine. The first principle of usury doctrine can be summarized thus: usury is the charging of a profit on the loan of money as distinguished from the investment of capital. As we observed in chapter 4, even the preeminent twentieth-century economist John Maynard Keynes (certainly no apologist for Catholic teaching) had to correct his earlier prejudiced understanding and acknowledge that historical Catholic thinkers maintained this distinction better than proponents of the classical economic theory.³ In the traditional language of usury doctrine, the distinction between a rate of interest and marginal efficiency of capital was the difference between usury from a *mutuum* and just profit derived from a true *societas* or *census*. Implicit in Keynes's observation is recognition of a fundamental difference between capital and mere money. As we saw in chapter 4, Henry Somerville observed that proponents of traditional Catholic usury theory never denied legitimate profit to business investment, "but they disputed the identification of the lending of money with the investment of capital."⁴

Sixteenth-century authors did allow the partner to insure against some or all of this business risk (as opposed to the mere risk of payment default present in every executory contract). The presence of business risk (which could only be insured against at a price, the foregoing of larger profits) distinguished capital from mere money.

Once this foundational distinction between money and capital is accepted, usury law must first and foremost distinguish between transactions involving money as opposed to capital. A loan can be defined for

³ John Maynard Keynes, *The General Theory of Employment, Interest, and Money* (San Diego: Harcourt, 1964), 351–52.

⁴ Henry Somerville, "Interest and Usury in a New Light," *Economic Journal* 41 (1931): 646.

purposes of identifying transactions subject to usury law as the provision of funds that must be returned at a later date without the lender requiring the borrower to use the funds productively in the interim.⁵ A transaction not involving a loan, and thus not subject to usury law, can be defined as the provision of capital that the investor requires the recipient to use for the production of new goods or services.⁶ These definitions require the law to investigate the purpose of the transaction and the use of proceeds. Drawing this distinction may be difficult in complex factual scenarios (particularly when clever participants use the complexity to obscure the economic reality). Yet current law conditions a variety of legal results on the characterization of loans as personal or business.⁷

Difficulty in discerning this distinction in light of economic complexities may have been a source of some of the confusion in the historical record of usury doctrine. One particular historical difficulty, less relevant today, arose from the lack of clear demarcation between business activity and personal consumption. Jurists or philosophers writing about usury did not always recognize the different contexts of capital investment and money loans and thus did not clearly annunciate the distinction in the way Keynes and Somerville do. Some writers often focused their attention on the form of transaction. Was it a form associated with a business partnership or investment (*societas* or *census*) or was it a legal form associated with the lending of money (*mutuum*) rather than focusing on the economic reality of the use of funds? The modern ability to distinguish business activity from personal consumption was not as explicit in prior centuries. In modern times we more easily draw the lines between business and personal finance. This distinction was less apparent at the time the usury doctrine was being applied to the new commercial environment of the sixteenth and seventeenth centuries.⁸

Throughout the centuries generally referred to as the Middle Ages, commerce was conducted in two predominant forms: individual proprietorships and partnerships.⁹ Even when the *compagnia* (from which our modern word

⁵ Bernard Dempsey, *Interest and Usury* (London: D. Dobson, 1948), 3.

⁶ *Ibid.*

⁷ See notes 17–20 in this chapter and accompanying text.

⁸ See Edwin S. Hunt and James M. Murray, *A History of Business in Medieval Europe 1200–1550* (Cambridge: Cambridge University Press, 1999), 33, 60.

⁹ See John Micklethwait and Adrian Wooldridge, *The Company: A Short History of a Revolutionary Idea* (New York: Modern Library, 2003), 7–10.

"company" is derived) developed, the owners, like partners in a *societas*,¹⁰ were still fully personally liable for the debts of the venture.¹¹ Although the law of this period did recognize an entity with legal personality distinct from the personal affairs of the individuals involved,¹² these corporations were not business ventures; they were towns, universities, and religious societies.¹³ Even when this legal form began to take on a characteristic of business affairs in the seventeenth and eighteenth centuries, it was more like a quasi-governmental entity than a private business venture.¹⁴ The corporations of the Age of Discovery, the East India Company, the Virginia Company, and so forth had standing armies, collected taxes, and performed other administrative functions in the colonies.¹⁵ Although there were individuals attempting to prosper financially, these state monopolies appear more like governments than businesses. They were also not the common form used for business affairs until well into the nineteenth century.¹⁶

It is critical to keep this historical perspective in mind when evaluating the difficult debates about applying usury theory to practical situations for the four centuries following the year 1500. The charge of obscurity often leveled at usury doctrine may more correctly be alleged against legal forms of conducting business. Whereas the ability to distinguish consumptive borrowing from productive investment is more obvious today, when a merchant was acquiring funds to finance a business venture it was the merchant personally who was the one borrowing or collecting the investment. Distinctions between his personal living expenses and the business were not always clearly discernible, since he was personally liable for both types of expenses. If he borrowed to pay medical expenses for his children, this transaction freed more of his wealth for his business ventures. The distinction between a merchant's personal consumption and the business venture was less distinct than even that of a general partner in a partnership today. Thus an analysis of the form of the transaction may have

¹⁰ See Reinhard Zimmermann, *The Law of Obligations: Roman Foundations of the Civilian Tradition* (Cape Town: Juta, 1990), 467–68.

¹¹ See Micklethwait and Wooldridge, *The Company*, 8.

¹² *Ibid.*, 12.

¹³ See *ibid.*; Wesley B. Truitt, *The Corporation* (Westport: Greenwood, 2006), 2.

¹⁴ See Micklethwait and Wooldridge, *The Company*, 17–36.

¹⁵ *Ibid.*

¹⁶ "It was not until a combination of legal and economic changes from the 1820s onward that the modern company began to take shape." *Ibid.*, 40.

appeared to be the only practical way to draw the distinction between various loans and capital investment.

Although modern business structures and accounting sophistication that distinguish personal and business liability make it easier to draw these lines, hard cases still can arise. Yet, modern law routinely draws distinctions between business and consumer purposes in a variety of contexts. Article 9 of the Uniform Commercial Code establishes several different legal rules for loans used for consumer, personal, or household purposes.¹⁷ The Truth in Lending Act distinguishes between consumer and commercial loans.¹⁸ The Electronic Funds Transfer Act limits its provisions to transfers from accounts used for consumer purposes.¹⁹ The Internal Revenue Code distinguishes between interest paid on investment loans and personal loans.²⁰ Business financiers can draw on existing practices to monitor the use of funds such as obtaining representations and continuing covenants with respect to use of funds and monitoring the identity of recipients of disbursed funds.

Despite the prior attention to legal form, jurists and philosophers recognized that a *census* or *societas* could evade the required wealth-producing purpose. Despite such difficulty, they chose not to abandon the effort and ban or permit everything but to persevere in attempting to better articulate the distinctions and continuously refine it in light of new economic realities, until a more clearly annunciated distinction based on the economic substance of the transaction could succeed the attention to legal form.

Loans for Personal Consumption

Once the realm of business investment is distinguished from money loans (even if the line of separation is difficult to mark in individual cases), the principle of no profit on a money loan needs to be applied to the modern monetary and fiscal system. The lending of money used to purchase unproductive goods such as food, shelter, or clothing is a different matter from obtaining capital for purchasing business equipment. At the heart of

¹⁷ U.C.C. § 9-309(1) (2007) (providing for perfection upon attachment for a Purchase Money Security Interest in consumer goods); § 9-320(b) (containing a different priority rule for buyers of consumer goods); § 9-620(c) (containing separate rules limiting strict foreclosure on consumer goods).

¹⁸ 15 U.S.C. § 1603(1).

¹⁹ 15 U.S.C. § 1693a.

²⁰ I.R.C. § 163(d), (h).

usury doctrine is the Roman law contract of *mutuum* in which the borrower needed to return only something of equal value to that loaned. The Roman legal concept of compensatory interest may be combined with this obligation of the *mutuum*. To receive back the money used for consumption with a profit is unjust. The amount of the profit demanded only affects the extent of injustice worked in the situation.

As an increasing precision in distinguishing business investments from loans emerged after the sixteenth century, contemporaneously a more precise definition of what did and did not constitute profit developed in light of new economic realities. During the elucidation of usury doctrine from ancient times until the late Middle Ages, the doctrine was primarily applied to a monetary system based on a more or less stable base of precious metals. In a system with a stable currency, the loan of a quantity of gold, or a note representing the right to that quantity of gold, has a stable value. What that gold could purchase may vary over time (but this variation is attributable to the value of goods and services relative to gold and is thus extrinsic to the money itself). As we have seen in chapter 2, from the sixteenth century, the value of money acquired an ever increasing level of volatility beyond price fluctuations of goods. The influx of new supplies of gold combined with the new levels of debasement under Henry VIII brought unprecedented depreciation to the value of coined money. The development of deposit and fractional reserve banking eventually led to the complete elimination of commodity money ending in the fictional money of the twenty-first century, which rests upon no stable ground.

Today, money does not have a fixed value but rather one that fluctuates over time. The transition of money from a specified amount of a precious or semiprecious metal to a note representing the right to a specific amount of such *specie* to its current form, a promise by a government to print more of the same paper, presents a new factual scenario for consideration by the usury doctrine. For the past few hundred years, the stability of the money supply has been dramatically eroded. Today there is no intrinsic value to US dollars and no limit to or control on the amount of dollars in circulation other than macroeconomic choices of the Federal Reserve System, which can alter the general flow of the money system by its open market activities and reserve requirements. The quantity of money in circulation is constantly fluctuating and subject to manipulation by government in partnership—through the

Federal Reserve System—with a banking system operating on a fractional reserve basis.²¹ These changes in the characteristics of money have made it difficult to equate the value of money at the time of the loan and its later repayment. Usury doctrine prohibits the demand that the buyer pay *more* than the amount loaned plus costs of the loan. If the value of a dollar changes over time, the repayment of a loan in a *different* nominal amount of dollars might actually represent the repayment of the original value of the loan. The essence of a *mutuum* requires not that the buyer return the same item loaned but others of equal value to the original loan. In the year 1200, one hundred gold coins loaned and repaid were likely of the same value at both points in time. In a fluctuating currency, \$100 loaned today likely will not represent the same value at the time of repayment. Quantifying this change in value is a thorny issue. For illustrative purposes, I have created a chart (see Figure 1) based on the Consumer Price Index produced by the Bureau of Labor Statistics. Based on this methodology of measuring changes in the value of money over the past forty years, if a borrower had borrowed \$1.00 in each of the following years he would have to repay the amount listed to return to the lender the equivalent of that \$1.00 in purchasing power in 2011:

Figure 1. Required repayment amount so as to repay in 2011 equivalent of \$1.00 borrowed in each applicable year.

1971	\$5.58
1976	\$3.97
1981	\$2.49
1986	\$2.06
1991	\$1.66
1996	\$1.44
2001	\$1.28
2006	\$1.12
2007	\$1.09
2008	\$1.05
2009	\$1.05
2010	\$1.04 ²²

21 "[T]he volume of money . . . may depend upon the proximity of the next election. . . . [T]he supply of money is conditioned in large measure by arbitrary decisions." Dempsey, *Interest and Usury*, 106, 210.

22 Figures obtained by using the Bureau of Labor Statistics Inflation Calculator, available at www.bls.gov/data/inflation_calculator.htm, accessed November 11, 2012. This online device allows a user to enter a dollar amount and a year and

Such a methodology is open to criticism. The changes in purchasing power may be effected not only by monetary fluctuations but also by changes in the values of goods and services separate from the effects of monetary fluctuation. Yet, separating these two causes is extremely difficult since both causes result in changes in purchasing power of dollars. Criticisms of the methodology used by the Bureau of Labor Statistics in calculating this index might also be raised. Yet, beyond such details, the figures at least suggest a general trend of declining value of dollars over time.

Notwithstanding the inherent difficulties in quantifying the changes in monetary value in the current monetary system, it is at least clear that borrowing a hundred dollars and repaying the same hundred dollars years later is not an equivalent exchange. Ignoring the imprecision in the Consumer Price Index (CPI), one could argue that if one loaned \$100 in 1991, the borrower should return 66% more in 2011, or \$166, in order to return equal value to the lender.

At least one canonist, William of Rennes, suggested that the principle of *venditio sub dubio* might apply to the lending of money.²³ For example, if a lender lends \$100 today for repayment in one year and if it is uncertain how much \$100 will be worth next year, the lender may require the return of \$102.38 if such amount is a reasonable estimate of the likely equivalent of \$100 at that time. This estimation is based on the average change in the CPI over the ten years ending in 2010, which is 2.38%.²⁴ I have been unable to find any other jurist or philosopher who developed such an application of the doctrine of *venditio sub dubio*. I suspect this is because prior to recent times,

then computes the equivalent purchasing power of that amount in the current year. All figures were calculated on June 27, 2011. The website explains the functioning of the calculator thus: "The CPI inflation calculator uses the average Consumer Price Index for a given calendar year. This data represents changes in prices of all goods and services purchased for consumption by urban households. This index value has been calculated every year since 1913. For the current year, the latest monthly index value is used."

²³ See John W. Baldwin, "The Medieval Theories of the Just Price: Romanists, Canonists, and Theologians in the Twelfth and Thirteenth Centuries," *Transactions of American Philosophical Society* 49, no. 4 (July 1959): 81, citing William of Rennes, *Glossa to Versimiliter Dubitatur Summa Raymundi* (1603), II, 7, para. 3, pp. 228–29.

²⁴ Calculated based on U.S. Department of Labor, Bureau of Labor Statistics, Consumer Price Index, accessed November 4, 2012, ftp.bls.gov/pub/special.requests/cpi/cpiat.txt (containing historic percentage changes in average CPI since 1913).

most people assumed money retained a relatively stable value (or at least stable enough so no material differences would arise), and thus its future value was not subject to real doubt.²⁵ Under the modern monetary system, the opposite is true. After decades of steady inflation, there is likely real doubt that the value of money remains constant. This conclusion presents another critique of the fixed maximum rates of interest that were a product of the subjectivist approach to usury. Variations in the CPI from 1913 to 2011 would suggest that a one-year loan at some points in time would not need to be repaid in a greater amount and at others in an amount as great as 18% or more.²⁶ As long as the money supply is subject to vacillations in value, a fixed maximum interest rate could be unjust to the lender. A variable rate dependent on the decline in the value of money would be more appropriate. Arriving at a fair, unbiased assessment of this variation independent of mere price fluctuations unrelated to monetary fluctuations would be extremely challenging as long as our monetary system lacks any external (to the bank-lenders) controls on the supply of money. The other solution to this problem is a reform of the money system to ensure more stability. In a sense, true reform of usury law may require as a prerequisite monetary reform.

The converse of the principle that it is unjust to require the borrower to pay more than he received is that it is unjust to allow the borrower to return less. As money's value no longer seemed as stable as it once had, it became clear that a lender might end a loan transaction with less value returned to him notwithstanding having technically received the exact amount of currency loaned. Thus, although the concept of indemnification for loss suffered in making the loan existed in the earlier period, its use was expanded from precise ex post facto calculations to ex ante estimations of loss likely to be suffered in making the loan. In theory the original definition of interest remained as compensation for loss, but changes in the nature of money meant that new forms of loss could now be recognized due to the deterioration in the value of the money loaned.

Beyond the estimated deterioration in the value of money over the life of the loan, compensatory interest could also include an amount to reimburse

²⁵ See Baldwin, "Medieval Theories," 81.

²⁶ See, for example, that average CPI change from 1928 to 1929 was 0% and from 1917 to 1918 was 18%. U.S. Department of Labor, Bureau of Labor Statistics, Consumer Price Index, accessed November 4, 2012, ftp.bls.gov/pub/special.requests/cpi/cpiat.txt.

the lender for costs incurred in making and administering the loan. These costs are analogous to the transportation and record-keeping costs associated with legitimate bills of exchange discussed in chapter 4. As we noted in chapter 3, the *mons pietatis* charged compensatory interest to cover these administrative costs in an amount no greater than their annual costs.

As more opportunities became available to invest capital in the businesses of other people, jurists and philosophers recognized that the lost opportunity to make a profit was a cost or loss occasioned by a loan. As we have seen in chapter 3, initially this compensation for *lucrum cessans* (lost profit) was limited to merchant lenders since as merchants they could have invested the loaned funds in their business. The *mons pietatis* argued that their benefactors (often widows and orphans holding a fixed sum for their support) could invest their money as capital in a wide variety of businesses, and thus it was just to offer them some compensation for having foregone this profit to support the work of the *mons pietatis*. Modern markets for capital offer the opportunity for any person to invest virtually unlimited amounts of capital in a wide variety of businesses. In current circumstances it would seem that lenders should be entitled to compensation for foregone profit. The question arises how to measure this compensation. Originally *lucrum cessans* needed to be proven with certainty based on the particular business of the merchant lender. Once the test shifts to a general ability to charge for lost investment profit, the specificity of a particular business's likely profit is inappropriate. Usury scholars addressed this concern by requiring that, in the absence of specific facts proving a particular lender withdrew the loaned funds from a specific business use from which a proven amount of foregone profits could be established with reasonable certainty, a general amount of *lucrum cessans* must be based on a generally available level of certain, not speculative, profit. As St. Thomas Aquinas explained, a lender cannot charge for a profit which he "may be prevented in many ways from having."²⁷ The *mons pietatis* only paid *lucrum cessans* in a modest amount intended to measure the amount of a certain or safe lost profit and not a speculative amount. As we saw in chapter 3, legal approval of *lucrum cessans* for the *mons pietatis* was qualified by the requirement that

the *lucrum cessans* paid should not be greater than what the person would receive with certainty by investing in commerce, since this would discourage investment in productive activities. Translating these principles to modern circumstances could occur in a variety of ways. The amount permitted should not make it financially more attractive for a lender to make a loan than to invest capital in a productive business or asset. The *mons pietatis* were nonprofit lenders, which embodies the heart of usury doctrine—no profit on a loan. It is self-evident that credit card companies, payday lenders, and other consumer credit ventures are clearly for-profit businesses. One possibility of defining *lucrum cessans* might include paying the amount banks pay on demand deposits. Yet, this rate is likely a result of the ability of for-profit banks to charge profitable rates on usurious loans. Thus, it likely does not represent a safe rate of capital investment. This difficulty highlights the complexity of reforming usury laws without reforming the monetary and banking system. Yet, in theory if a risk-free rate of return on capital could be estimated, this amount could be used to define a generally available amount of legitimate *lucrum cessans*.

These complexities become even more difficult if the lender is a bank operating under modern fractional reserve rules. As we discovered in chapter 2, modern banking law permits banks to lend money they do not have. They merely create the money by book entry as a deposit in the account of the borrower. We might legitimately ask, what loss does such a lender incur when he lends money that would not exist but for the loan and ceases to exist once the loan is repaid? Even if the purchasing power of a dollar declines by 6% over a two-year loan period, has the lender suffered a loss if the loaned money is destroyed upon repayment? The money only exists for the extension of the loan. Fractional reserve banking does require the bank to have the fractional reserve requirement, so perhaps it would be just to consider the loss limited to this portion of the loan. If the legal reserve ratio is 9:1, then on a \$100 loan the loss of the bank could be considered to be the decline in the value of \$10 over the loan period. Put another way, if the lender were a bank vested with the power to create loaned money, interest should only be payable on the reserve ratio of the loaned funds plus any other administrative costs of making and carrying the loan. As to foregone profit (*lucrum cessans*), it would seem that the bank foregoes no profit on capital since the money loaned to a consumer

²⁷ Thomas Aquinas, *Summa Theologica* II-II, q. 78, a. 2, ad. 1. This principle would serve as a limitation of a general (as opposed to situation specific) rate of *lucrum cessans*, which could be charged.

is created only for this purpose. But for the loan, the money would not exist to invest in a business. This analysis means that banks should be required to charge lower rates than lenders who actually have to possess the money they lend. As we have seen in chapter 5, American law has evolved in exactly the opposite direction: banks have been exempted from more usury laws than other lenders.

Thus, the current monetary and banking regime makes it extremely difficult to quantify these legitimate titles to compensation on a loan (costs and lost profit). Fractional reserve banking combined with an elastic and ever-changing currency obscure the detection of a usurious profit in most loan transactions. Such considerations led Father Bernard Dempsey to speculate over eighty years ago that the current monetary system results in institutional usury—usurious profits clearly permeate the entire financial system but are extremely difficult to detect and quantify in individual loans.²⁸ During the death rattle of the gold standard and the emergence of our completely elastic currency, he realized that when lenders can create the money they lend, there is little cost incurred or lost opportunity of investment.²⁹

Dempsey's insight presents three possible solutions to reestablishing usury doctrine in our current economic environment. First, usury reform might only be possible in tandem with monetary and banking reform that returned money to a more stable, less manipulated footing and required lenders actually to have the money they lend.³⁰ Secondly, until monetary and banking reform occurs, the law could select a variable rate that combined the percentage change in the CPI and a risk-free rate of return and forbid compensation on money loans above this composite amount. Due to the complexity and imprecision in calculating these variables, this would certainly not prohibit all usurious gain, but it would bring our law closer to the standards of justice than current deregulation. It would prohibit clearly usurious gains on loans, which would certainly exceed such a level. As an adjustable amount it would be fair to lenders in that it would adjust, at least approximately, to changes in the value of money and the risk-free rate of return.

²⁸ See Dempsey, *Interest and Usury*, 216–28.

²⁹ *Ibid.*

³⁰ The topic of monetary reform, although related, is beyond the scope of this book. For an innovative proposal for monetary reform recently introduced in Congress, see H.R. 6550, 111th Cong., introduced December 17, 2010.

The third solution could be developed from the history of the *mons pietatis*. If Dempsey's analysis of the situation is correct and usury has been transformed from an individual to an institutional injustice, then perhaps a more institutional solution, as opposed to a transaction-by-transaction analysis, is appropriate. Gain on loans could be regulated from the institutional perspective rather than loan by loan. The recovery of actual operational costs as well as a reasonable estimation of certain lost profits (in the small return paid on deposits with the *mons*, which were effectively passed through to the borrowers) could provide a model for regulating necessary consumer lending today. The amount of this cost recovery was limited by the nonprofit nature of the *mons* and the procedures designed to prevent the promotion of unnecessary borrowing (the limitation of credit to the acquisition of necessities and the exclusion of loans to the abject poor). A consumer lender barred from realizing a profit has no incentive to encourage unnecessary borrowing and thus contributes to the encouragement of investment of saved funds in wealth-producing activities, not consumption. Annual reconciliations of interest charges collected and operating expenses resulted in return or disgorgement of profits of the *mons*. In addition, the controlled consumer lending of the *mons* was situated within the broader context of social responsibility for the poor. Those without assets to pledge or incapable of acquiring the income to eventually repay the loan (such as the elderly) were provided for with direct transfers of goods, not loans. The reply to the poor was not "let them eat credit cards!" Yet, for those who could be helped by temporary liquidity in the form of a consumer loan, such a model would prevent this assistance from coming at the price of violating commutative justice. Given the complexity of quantifying the elements of compensation in an individual transaction, it might be more appropriate to require consumer lenders to likewise disgorge profits above a certain level. This would establish that consumer lending would be conducted on a not-for-profit basis at the institutional level. Recall that we observed in chapter 3 that it was the legalization of for-profit consumer lending that destroyed the centuries-long work of the *mons pietatis*. They simply could not survive in the context of for-profit predators.

Clearly such a legal change would dramatically reduce the incentive for lending money for consumption. In a society dependent upon consumer credit, such a shift must be coupled with the reform of the distribution of

necessary consumption items. Unnecessary consumption would have to be funded from current income or the sale of other assets valued less than the thing to be consumed or from those willing to lend with expectation of receiving only an equivalent value in return. Although this will obviously have the effect of discouraging lending to fund present consumption, it will redirect those funds to productive activities. The macroeconomic implications of this shift in understanding credit needs to be evaluated, and, further, the consequent discouragement of current consumption and encouragement of long-term investment of savings in capital explored.

A defender of a *laissez-faire* credit market would likely assert that the only way such consumers can buy a house or obtain some other consumer good is to pay usurious fees. The traditional usury doctrine challenges this basic assumption. Should enabling those with wealth to profit be the only way for people to purchase shelter for their families? Should the basic need of shelter be an opportunity for an upward wealth redistribution? Should someone have to pay three times the value of a home to be able to find shelter? Usury doctrine would answer negatively. This doctrine challenges the basic assumption that for-profit lending, with its commutative and distributive justice concerns, is not necessarily the only or most just method to finance the acquisition of necessities.

The Financing of Businesses

The fundamental principle of usury doctrine is that capital investment in production is substantially different from a money loan. The primary function of usury doctrine with respect to business finance is thus to distinguish business investment from the mere loan of money. As these activities differ, their legal treatment should be different. In the case of a money loan the principle is equality plus compensation for loss. In business investing the fundamental principle is a just agreement to share the profits of the business. Yet, unlike the inconsistent, corporate exception, the mere presence of a business venture does not turn all transactions into capital investments. The economic substance must be examined to determine the true implications of the contract. Drawing this distinction is difficult in the modern legal context since both transactions are documented using the legal forms and vocabulary of a money loan. In both cases, the documents will speak of principle, interest, default, and so forth. Yet, we draw

some distinctions of substance over legal form in other contexts.³¹ Although difficult, the task is not unprecedented.

A distinction must be made between capital investors in a business or assets who may have property claims and claims to a share of profits, and those who are simply owed the repayment of money loaned. Often in the modern legal climate, some of those investing capital in a business will document the transaction in the form of a loan. To facilitate clarity, I will refer to the first group as "Debt Investors" and the second as "Monetary Creditors" regardless of the form of any legal documentation. Debt Investors include those who provide capital to businesses in exchange for a negotiated combination of contractual and property rights relating to assets of, and future profits from, the business. Typical modern forms include secured and unsecured notes, bonds, and debentures and securitization structures. Monetary Creditors comprise those who have not sought to invest capital in a business in exchange for a bundle of claims relating to return of capital and a share in profits of the business. To express the definition in the affirmative, they are creditors entitled to the payment of a specified sum of money, as opposed to capital, by the business, unrelated to profits of that business. Examples are parties entitled to payment of a contractual obligation (other than one documenting the relationship with a Debt Investor) such as for the purchase of goods or for wages for work done, payments owed to the governing authority as a result of positive law, settlement of a delayed payment transaction, and claims for monetary payment as compensation for harm caused for which the law provides a remedy. Examples of categories of Monetary Creditors are employees, trade creditors, taxing authorities, and tort victims. Monetary Creditors, like lenders of money for consumption (in the sense of the Roman law term *mutuum*), have a legal claim for the payment of a fixed monetary sum plus any compensation for loss arising from nonpayment when due. They have no just claims to profit or gain on their dealing with

³¹ For example, the law distinguishes the legal treatment of true sales subject to a retained security interest from leases of property and draws such distinctions based not on the intent of the parties or the form of the transaction but on the economic realities of the transaction. See, for example, *Gibraltar Financial Corp. v. Prestige Equipment Corporation*, 2011 WL 2493771 (Indiana 2011); *Excel Auto and Truck Leasing, L.L.P. v. Allief Independent School Dist.*, 249 S.W.3d 46 (Crt. App. Texas 2007).

the business (other than just profit on an underlying sale to which the credit relates), but merely claims under commutative justice to an equitable settlement of their monetary claims.

Although some examples of forms of transactions representing these two categories have been listed, the definitions present fact-intensive questions. Thus, the fact that an employee may document his right to payment of wages by issuing a note does not necessarily transform his status from a Monetary Creditor to a Debt Investor (unless of course in substance, the employee and business agree that the employee may invest his salary as capital in the business).³²

In summary, the economic difference between the two is that Debt Investors look to share in profits of the business whereas Monetary Creditors look to recover a fixed payment of money (plus any damages due to nonpayment). Debt Investors equate under prior legal regimes to a *socius* in a *societas*, or an entrusting partner in a *commenda*, or a purchaser of a *census*, with each entitled to certain negotiated property rights in their invested capital and rights to future profits.³³

The contract between Monetary Creditors and a business should be examined under usury doctrine and the principles of compensatory interest. Since the Monetary Creditor is merely owed a money debt, his claims should be limited to compensation as discussed in chapters 3 and 5. Debt Investors, on the other hand, are entitled to a justly negotiated share of profits from the business in which they invest. The range of this allocation is wide depending on the amount of priority and certainty the Debt Investor requires. A fundamental limiting principle, however, is that the contract must not in substance be a mere loan of money. If the agreed allocation removes all connection of the Debt Investor's claims to productivity, it in reality is a money loan and should thus be subject to the analysis of usury doctrine.

³² Interestingly, English Company Law still preserves a distinction between these types of creditors, and it refers to Debt Investors as holders of "loan stock," which is treated as part of the capital of the company. There does not appear to be a legally significant difference, however, in the way the two groups are treated for priority purposes. See, for example, Criminal Justice Act, 1993, c. 36, § 2 (Eng.) (including "loan stock" in the definition of debt securities); Financial Services and Markets Act, 2000, c. 8, § 12, sched. 2 (Eng.) (including "loan stock" in a definition of instruments creating indebtedness).

³³ See chapter 4.

Once Debt Investors are distinguished from Monetary Creditors, the varying claims of Debt Investors can be separated. These must be broken down into claims to the return on invested capital and claims to a share of profits. The remainder of this part of the chapter will apply the principles of the doctrine examined in chapter 4 to various aspects of capital investment by Debt Investors. The historical justifications for different profit claims will provide a method for evaluating the property rights of such Debt Investors under our current law.

First Claim—Return of Invested Capital

The first claim is for a return of the original capital invested. The most relevant aspect is the priority of this claim in relation to all other capital investors. As such, it is reached through contractual agreements with the business and other investors, directly or indirectly. The traditional doctrine allowed great freedom to the investor and investee in determining the priority of this claim and the relation of the claim to the capital invested. The relationship involved the retention of varying forms of property rights over the invested capital. A broad spectrum of options is discernable from the historical forms discussed in chapter 4. The property right in a *commenda*, as an entrustment, was the strongest form of retained ownership. The transaction involved only an entrustment of identified assets to a merchant who traded on behalf of the entrusting partner. The assets remained under the ownership of the investor while possession passed to the trading merchant. The investor could choose, however, to transfer more of a property right than an entrustment as in a *commenda*.

In a *contractus trinitas* a partner transferred ownership of capital to a partnership but received in return a claim to the return of the value of that capital guaranteed by the other partners. This involved only a property right to the amount of that capital from the partner and not a right to assets of the partnership itself. A weaker form of property right was involved in a simple *societas*, where the investor transforms ownership into joint ownership with the other partners and retained no priority property right to the return of the invested assets or capital. Finally, the *census* represented merely the purchase of fruits or income from assets and no property right in the assets themselves, as distinguished from their fruits, or any claim to return of the purchase price.

Four categories of Debt Investors can be discerned based on the analysis of the *commenda*, *contractus trinitas*, *societas*, and *census*. Modern transaction forms will be identified for each category, and the function of the modern legal forms of affording those rights will be examined by viewing each category in light of the historical precedents presented in chapter 4.

First, the investor may choose to only entrust possession of assets to a business for a constrained use (e.g., an attempt to sell them) and require return of any unused asset upon completion of the agreed period. The Debt Investor may contribute his investment and may restrict the use of the assets associated with that investment through the retention of a security interest³⁴ therein, as in a consignment.³⁵ For example, the Secured Debt Investor may restrict transfer of the specified asset. If this is the case, a third party cannot obtain an interest in the property to the extent of the reserved interest by the Secured Debt Investor. The details of the reservation of a property right must be determined by reading the applicable security agreement. The Secured Debt Investor's filing of a financing statement serves the functions of putting third parties on notice that transfer to them may be restricted by a conflicting property right.³⁶

³⁴ A security interest can be defined as an interest in property contingent upon the nonpayment of an obligation. See U.C.C. § 1-201(35). Synonyms would include pledge, lien, mortgage, or charge. The core property right embodied in a security interest is that the holder can take possession of the property and sell it to satisfy the obligation.

³⁵ Article 9 of the Uniform Commercial Code defines a consignment as "a transaction, regardless of its form, in which a person delivers goods to a merchant for the purpose of sale" and which meets certain other technical requirements. U.C.C. § 9-102(a)(20).

³⁶ One may argue that the contents of a financing statement are insufficient public notice of the nature of the reserved rights, as does Lynn LoPucki. See Lynn M. LoPucki, "The Unsecured Creditor's Bargain," *Virginia Law Review* 80 (1994): 963-65 (proposing to encourage disclosure of more information in public filings by creating presumptions that certain items are not in an agreement unless disclosed). LoPucki states, "It holds voluntary unsecured creditors to the terms of security agreements to which they did not in fact agree and to which they do not even have access. The terms of those agreements are binding regardless of how unreasonable they may be." *Ibid.*, 1963. Yet, despite the potential merit in requiring more disclosure in a financing statement of the nature of the secured party rights or, alternatively, the public filing of security agreements, the issue of fair disclosure is separate from the justification for the restriction on transfer of the asset and the corresponding reserved property right.

Some commentators have objected that even public notice of a security interest is unfair to involuntary creditors such as tort victims.³⁷ These involuntary creditors cannot benefit from any public disclosure of reserved property rights, because they do not choose to become a creditor to the debtor.³⁸ Yet, one must be precise about what is unfair in this situation. The fact that an investor did not transfer unrestricted ownership of his original investment to the tortfeasor is not the source of the injustice; rather, it is that a tort has been committed against the victim (or a debt otherwise created involuntarily). Allowing the investor to limit the amount of his investment by reserving a property interest and restricting voluntary or involuntary transfer is no more unjust than a tortfeasor failing to obtain a greater investment from potential investors before committing a tort. Taken to its logical conclusion, this line of argument suggests that it would be unjust that the tortfeasor did not have a higher paying job that would have enabled his satisfaction of the judgment.

The second category involves retention of a weaker property right with the actual transfer of the ownership of the asset to the business but with a guaranty of return of the value of the capital committed, as in a *contractus trinitas*. Ownership of the asset transfers from the investor to the business subject to a commitment to return the contribution under agreed circumstances. An example of this type of transaction would be a Secured Debt Investor who does not restrict transferability of the asset associated with the capital investment through a security interest. In this context the security interest is the method of achieving the guarantee of returning the capital originally invested so long as it is still owned by the business. The security agreement identifies the assets to which capital invested relate (the "collateral") and the rights of the secured creditor to repossess the collateral (to the extent still owned by the business) and functions as the guaranty of the return of the capital.

The analysis of this category of transaction thus far has used the term "asset" or "capital" in a general sense that must be clarified before going any further. In the instance where an asset other than money is invested, the security interest, as with a consignment, identifies the specific asset contributed and guarantees its return. When a Debt Investor provides the investment of capital in the form of liquid funds, however, the security

³⁷ See, for example, *ibid.*, 1901.

³⁸ See *ibid.*, 1898-912.

interest serves a slightly different purpose: it identifies the productive asset into which the capital is to be transformed.

As a medium of exchange, money can only be evaluated in terms of that for which it is exchanged.³⁹ The grant of a security interest can be recharacterized as the purchase of assets by the investor from a third party, as in a Purchase Money Security Interest (PMSI),⁴⁰ or from the business itself followed by a contribution of those specific assets (or a portion thereof) to the business with a retained guaranty of their return. The claim of the Debt Investor can be recharacterized as a claim to a return of the specific asset contributed or the assets associated with the capital such investor contributed. When the amount invested is less than the value of the assets upon their repossession, the Debt Investor must return any excess above the capital claim to the business.⁴¹ The Debt Investor and the business can agree that this contributed asset is to remain in its current form, or they can agree that the business is permitted to exchange this asset for different assets.

So far, existing commercial law appears consistent with this recharacterization of a secured business loan as a *contractus trinitas* with its guaranty of return of capital invested and retention of ownership in the assets directly or indirectly contributed to the partnership. Yet, there is one aspect of current law that appears inconsistent and, thus, is perhaps a candidate for reform according to the traditional usury doctrine. There are two ways that the current law allows the value of collateral to increase above the amount of the original capital invested.⁴² The Uniform Commercial Code authorizes a business to grant a security interest in collateral acquired after the investment by the Debt Investor without limit to

amount.⁴³ An after-acquired property clause does not in and of itself appear inconsistent with the proposed recharacterization of the transaction thus far. It could be used to accommodate a PMSI, for example, where the Debt Investor provides the money prior to the purchase of the assets by the business.⁴⁴ Yet, the analysis thus far implies that when assets are identified through the granting of a security interest, as those into which the capital contributed is to be transformed, then the value of the assets subject to that security interest should not exceed the value of the capital contributed. Thus, we can conclude, at least provisionally, that an after-acquired property clause should be limited in its effectiveness to a total value of collateral not exceeding the original investment.

The second aspect of current law that appears inconsistent with the proposed analysis is the treatment of proceeds of collateral.⁴⁵ A Debt Investor may agree that the assets identified as his investment may be sold or exchanged for other assets.⁴⁶ Yet, current law's definition of proceeds goes beyond a mere tracing of the original invested value through exchanges of assets.⁴⁷ It allows the value of the collateral to grow in several ways. First, the definition of proceeds does not require in all cases the sale, transfer, or exchange of the collateral.⁴⁸ It includes payments received as a result of the collateral, such as rental payments.⁴⁹ Secondly, the combination of the definition of proceeds and the rule that security interests can continue in the collateral sold or transferred allows the value of collateral to increase by the addition of proceeds.⁵⁰ Current law does not allow the secured party to recover more than their total claim (which includes interest) against the debtor,⁵¹ yet it reserves more assets to guarantee that claim than originally

³⁹ See chapter 2.

⁴⁰ See U.C.C. § 9-103 (defining a Purchase Money Security Interest).

⁴¹ See *ibid.*, § 9-608; see also 11 U.S.C. §§ 101(12), 502. Both the Uniform Commercial Code and bankruptcy law calculate the surplus differently since the secured party is entitled to retain more than the original capital invested. Compare U.C.C. § 9-608, with 11 U.S.C. §§ 101(12), 502. The Code uses the phrase all "obligations" secured by the security interest, which can include obligations to pay interest. See U.C.C. § 9-608. The Bankruptcy Code uses the terms "claim" and "debt" to refer to whatever the contract between the debtor and creditor says is owed. See 11 U.S.C. § 101(5) (12).

⁴² One justification for this policy could be that the value of the claim is increasing as interest accrues. The right to use collateral to achieve priority for interest payments is discussed later in this chapter.

⁴³ See U.C.C. § 9-204.

⁴⁴ *Ibid.*, § 9-103.

⁴⁵ See U.C.C. § 9-102(a)(64) (defining "proceeds"); *ibid.*, § 9-203(f) (extending a security interest to proceeds of collateral).

⁴⁶ See U.C.C. § 9-315 (permitting security parties to authorize disposition of collateral); *ibid.*, § 9-205 (validating freedom of secured party and debtor to restrict or allow use and disposition).

⁴⁷ See U.C.C. § 9-102(a)(64).

⁴⁸ See *ibid.*

⁴⁹ See *ibid.*

⁵⁰ See U.C.C. § 9-315(a).

⁵¹ See U.C.C. § 9-201 (limiting the effectiveness of a security agreement to its terms).

contributed by the Debt Investor.⁵² This growth would only be justified if it were guarantying another legitimate claim of the Debt Investor beyond return of the original capital contributed.

Federal bankruptcy law treats after-acquired property and proceeds differently, and, under at least one reading, more in accord with the principles examined in chapter 4 than under state commercial law. First, the Bankruptcy Code limits the effectiveness of an after-acquired property clause as of the commencement of the case.⁵³ Thus, although not completely aligned to the proposed analysis of a secured creditor's claim, at least as of the time of the assertion of jurisdiction of the federal bankruptcy regime over the situation, it disallows the expansion of the collateral base. Second, at least one reading of the definition of proceeds contained in section 552(b) of the Bankruptcy Code⁵⁴ limits the value of a security interest in post-petition proceeds to the value of the pre-petition collateral converted or transformed into such proceeds,⁵⁵ which does not permit an expansion of the value of the collateral as under state law. Thus, current state law (but at least not one of the possible interpretations of the

⁵² See U.C.C. § 9-315.

⁵³ 11 U.S.C. § 552.

⁵⁴ Section 552(b)(1) of the Bankruptcy Code provides, in part, "if the security interest created by such security agreement extends to . . . proceeds . . . then such security interest extends to such proceeds . . . to the extent provided by such security agreement and by applicable nonbankruptcy law, except to any extent that the court, after notice and a hearing and based on the equities of the case, orders otherwise." *Ibid.*

⁵⁵ See *In re Northview Corp.*, 130 B.R. 543, 548 (B.A.P. 9th Cir. 1991): "It appears that in sub-part (b) Congress intended to preserve the viability of security interests which attached to pre-petition collateral notwithstanding that the collateral might subsequently be converted into a different form. . . . '[P]roceeds' . . . refers to secured pre-petition personal property which is converted into some other property." See also *In re Cafeteria Operators, L.P.*, 299 B.R. 400, 410 (Bankr. N.D. Tex. 2003) (holding that lender with a blanket lien was entitled to a security interest in post-petition revenue of a restaurant as proceeds but limited such security interest in proceeds to the value of inventory subject to a pre-petition security interest, which was consumed in producing such revenue). But see *Great-West Life and Annuity Assurance Co. v. Parke Imperial Canton, Ltd.*, 177 B.R. 843, 853 (Bankr. N.D. Ohio 1994): "The problem with Northview's reasoning, of course, is that there is nothing in the ordinary interpretation of 'product' or 'profits' of the debtor's secured property that limits the scope of those terms to types of property that need a 'conversion' before they come into being. Conversion is the crucial element of proceeds."

Bankruptcy Code) would seem to go beyond the limitations on capital investments in allowing the unlimited effectiveness of an after-acquired property clause and attachment of a security interest to proceeds.

In the third category of investments, the investor relinquishes a property right in the specific asset invested and agrees to a lower priority return of capital shared with other investors pro rata. This is equivalent to a simple *societas* where ownership of capital became joint and pro rata (in agreed proportions) and could be transferred by any partner to a third party, subject to the liability of a transferring partner to other partners for violating a term of their partnership. Such an agreement is in exchange for a higher percentage return than when return of capital is guaranteed, as in a *contractus trinitas*. By foregoing the retention of an individual property interest in the capital, the assets representing the capital are capable of being consumed or transferred at the discretion of the managers of the business in its operation. This is the added risk these investors agree to in their bargain. The implication is that these investors' claims to the return of capital should be subject to claims of Monetary Creditors who are owed money by the business. Put another way, their capital is completely subject to the risk of the operation of the business. This category encompasses Unsecured Debt Investors and investors in all equity securities. Here, a security interest would not be present because there is no guaranteed claim to a return of capital and no retention of ownership to facilitate that guaranty.

Finally, in the fourth category the investor retains no property right in the invested capital but merely purchases a priority right to payment of an agreed amount of revenues generated from a set of assets, as in the purchase of a *census*. An example of this category involves the securitization of future income or the sale of accounts receivables. In these types of transactions the Debt Investor's claim is to a portion of future income (from a securitized asset pool or from the collection of accounts). The grant of a security interest, or in the case of the sale of accounts receivable, mere filing of a financing statement, is used to identify the asset base out of which the income has been sold. The secured creditor's rights in this instance enable the Debt Investor to enforce its claim to the future income when it arises.

Thus, four types of investors in businesses have been identified. Each group has contracted for a different status with respect to the repayment of its investment. In the first case, a security interest is used to prevent any

ownership from vesting in the business. This is the most protected position, and in exchange for it, the investor trades a greater share of the business's profits. The second group grants more flexibility to the business to transfer and transform the capital invested, yet agrees with lower priority investors to a right to withdraw the amount of its original investment if those assets (or their successors in transformation) are still owned by the business (i.e., have not already been consumed or used to pay Monetary Creditors). These investors would expect a higher profit sharing relationship than the more secured investors. The third group has transformed all of its property rights in its invested capital into a joint ownership of the assets of the business. Thus, it has no specific claim to any particular capital or assets. It has merely agreed to receive all distributions of any capital remaining at liquidation after all obligations of the business, including to Monetary Creditors, have been paid. The final group purchased a priority right to income produced by certain assets but did not retain any right (beyond this future income) in the assets themselves.

Claims to Profit Payments

A Debt Investor also has a claim to the agreed portion of future profit from the business. The amount of income can take various forms ranging from a percentage of net income shared pro rata with all other investors, to a priority claim to a fixed dollar amount of profits from the business, to the revenue received from the business's use of a particular asset. As the various legal forms examined in section A of this part of the chapter demonstrate, traditional usury and just price doctrine allows great flexibility in allocating the amount of profit and the timing of its payment over the life of the venture (priority of payment). It even allowed the other investors to guarantee the payment of a fixed sum of profits to one investor. If the negotiations were conducted justly, the precise amount of profit to which an investor is entitled is a function of the other terms of such agreement: priority repayment of capital, guaranty, and so forth.

In this light, what is labeled an interest payment on a modern loan to a business is, in the traditional usury doctrine's analysis, the agreed amount of profit of the business to which the Debt Investor is entitled. If the negotiations have been justly conducted, this amount is less than the Debt Investor would expect to receive in a *pro rata* share of profits among all

investors, because he has foregone this higher amount in exchange for a lower consistent annual payment. When the Debt Investor takes a security interest in assets of the business that secures its claim to the interest (profit) payment, the Debt Investor achieves a guaranty of that return by the other investors as in a *contractus trinitas*. The guaranty could be general: a guaranty from the other investors payable out of their personal wealth, what contemporary practice would call a personal guaranty, or it could be limited to the guarantor's claim to the return of capital from the same business. In other words, the security interest represents a transfer of claims of the junior investors to their share of the business's capital represented by the pledged assets to the Secured Debt Investor as a guaranty for the profit payment. Thus, the Secured Debt Investor has two potential sources of payment of the agreed profit: cash profits earned by the business or the capital invested by junior investors.

This insight implies two things. First, the value of the Secured Debt Investor's claim may increase beyond his own claim to capital repayment to the extent that profit payments are not made and this second claim to profit may be secured by additional assets (named in the security agreement as collateral) but not initially allocable to the capital investment of the Secured Debt Investor. The definition of collateral in the security agreement may encompass assets in excess of the capital invested and even future assets to the extent that these interests represent a transfer of the junior investors' claims on capital represented by these assets to the Secured Debt Investor. Further, the Secured Debt Investor's second secured claim must logically be limited to the aggregate of all junior investors' claims on capital represented by the secured assets. The implication of this limitation is that this claim to profit must rank behind the claims of Monetary Creditors. As the junior creditors who have agreed to guarantee the profit claims of the Secured Debt Investors have not themselves retained a security interest to secure their own capital investment, their claims to return of capital are to be paid only after the Monetary Creditors' claims are satisfied. This result is consistent with the logic of the traditional doctrine distinguishing business investment from usurious loans. The Secured Debt Investors have agreed with the other investors to a guaranteed share of profits. They have not struck such an agreement with the Monetary Creditors. Unlike the claim to repayment of invested capital, this claim does not involve the retention of

any ownership interest in a contributed asset. It is a claim to future property (profit). The limitation of this claim to the junior investors' claims on capital is the one lynchpin distinguishing this transaction from a mere loan of money, which would be subject to the usury doctrine's restrictions on profit. There is still an element of business risk retained by the Secured Debt Investor with respect to his profit claim as long as his claim to profits is subordinated to the Monetary Creditors of the business. To the extent there is insufficient capital to realize on the guaranty given by junior investors, the claim to guaranteed profit should go unsatisfied.

As discussed in chapter 4, this business risk is the hallmark of capital investment. It can be shifted from one investor to another contractually, but it cannot simply be eliminated without transforming the investment into a mere money loan seeking payment of usury. If the Secured Debt Investor's claim to profit were to outrank the Monetary Creditors, the risk would not just be shifted to the other investors; it would be eliminated, becoming a simple payment risk. In a *contractus trinitas*, the risk that insufficient profits will be generated by the business was not eliminated, only insured by the other classes of capital investors. Absent a personal guaranty by the other investors, this insurance is limited to the other investors' capital invested. As Unsecured Debt Investors and equity investors, such claims to capital are subject to payment of Monetary Creditors. Under the principle of *nemo dat*,⁵⁶ such investors cannot give a greater claim than they themselves possess.

An example may usefully illustrate the implications of the preceding analysis. A business has assets worth \$300 in which the indicated investors have invested (see Figure 2).

The security agreement with Secured Debt Investor prohibits any transfer of collateral without the Secured Debt Investor's consent. During the first year, the business generates \$50 of accounts receivables that is securitized with Securitization Investor, who pays \$45 for the right to receive all accounts receivable actually collected.⁵⁷ After conducting business for one

Figure 2. Just returns

Secured Debt Investor	\$100 bond secured on all assets of the business and an annual interest coupon of 5%
Unsecured Debt Investor	\$100 debenture with an annual interest coupon of 7%
Equity Investor	\$100 common stock

year, the business is unprofitable and files bankruptcy for a liquidation. It has Monetary Creditors with aggregate claims of \$75. No payments were made on any Debt Investor instruments because there were no profits generated. The assets, other than accounts receivable, are sold for \$300, and the business has \$20 of unpaid accounts receivable. As of the date of distribution, the business had collected \$5 on accounts receivable (not included in the \$300 figure) that had not yet been paid to Securitization Investor. The proceeds, under the principles and conclusions articulated in this chapter, would be distributed as indicated in Figure 3 for the reasons stated.⁵⁸

The example below is similar to the result that would be reached under current law with three major exceptions:

1. the Secured Debt Investor's claim representing unpaid interest (profit) is subordinated to the claims of Monetary Creditors;
2. the claim of the Unsecured Debt Investor to the return of principle is subordinated to the claims of Monetary Creditors, whereas under current law they would rank equally and thus share pro rata; and
3. claims to unpaid interest (profit) of Unsecured Debt Investors are subordinated to the claims to return of initial capital of the Common Stock Holders.⁵⁹

grant a property right to the securitization investors in the proceeds of collection of the receivables constituting the pool (e.g., filing a financing statement) have been complied with.

⁵⁸ In order to illustrate more clearly the principles, various transaction costs (to make the investments and achieve the liquidation of assets, for example) are treated as zero. Their introduction would alter the dollar results but not the principles of distribution.

⁵⁹ I believe the analysis in chapter 4 would permit the Unsecured Debt Investor and Common Stock to agree a guaranteed profit payment to be paid out of the capital of the common stock, in which case Unsecured Debt Investors would receive \$7 prior to the distribution of capital to the holders of Common Stock.

⁵⁶ See Lynn M. Lopucki and Elizabeth Warren, *Secured Credit: A Systems Approach*, 5th ed. (New York: Aspen, 2006), 559–60 (*Nemo dat quod non habet*, which means “one does not give what he does not have”).

⁵⁷ For the purposes of this argument, it is not necessary to consider how the securitization is documented (a secured loan, true sale, or special purpose vehicle structure). All that is significant is that whatever legal formalities the law requires to

Figure 3. Investments

Recipient and amount	Reason
Securitization Investor: \$5 plus whatever is eventually collected on the \$20 accounts receivable	The security interest in the accounts receivable represents a right to all fruits of this asset so the \$5 and whatever can be collected from the remaining.
Secured Debt Investor: \$100	The security interest reserved a property right of the Secured Debt Investor in the assets up to the amount of its capital contribution, and assets subject to this property right were sold in an amount at least equal to \$100.
Monetary Creditors: \$75	The Unsecured Debt Investor and holders of common stock did not retain an individual property interest in their capital contributed, and it thus became the exclusive property of the business. They are only entitled to a share of whatever capital the business has not used in its business.
Secured Debt Investor: \$5	The security interest now represents the priority claim to the distribution of remaining capital to junior investors that was allocated to guarantee the fixed profit payment of the Secured Debt Investor.
Unsecured Debt Investors: \$100	This claim of the Secured Debt Investor follows the Monetary Creditors because it is a transfer of the claims of junior investors whose claim is, as discussed above, paid following Monetary Creditors.
Common Stock Holders: \$20	The Unsecured Debt Investor contracted for a priority return of its capital in advance of the common stock. Its interest payment represents a fixed payment of profits in priority to the common stock. As there were no profits, its claim is worth nothing. Because it did not obtain a guaranty from the junior investors, as did the Secured Debt Investors, it is not entitled to a portion of the capital of the junior investors, holders of the common stock, to satisfy its claim to profit payments.
	This is the balance of capital to be returned.

These three differences constitute deviations from traditional usury doctrine in our current legal system. They risk removing the substantial element distinguishing a capital investment from a money loan, some form of business risk related to the claim for profit. This flaw could be corrected by changes to the state (Uniform Commercial Code) and federal (Bankruptcy Code) priority schemes. Such changes would likely be welcomed by critics of the current system who, albeit for different reasons, find the current preferential treatment of secured creditors' claims unfair.⁶⁰

The traditional usury doctrine, and its related explanation of business investment, constitutes a set of values that interacts with freedom of contract and property rights in the context of business investment. Examination of this philosophical system illuminates the function of and limitations on the use of priority and security interests in a business context. First, the distinction between the investment of capital and claims to the payment of money creates a distinction between Investors (including Debt and Equity Investors) and Monetary Creditors (even if the form of transaction used in either category is called a loan). Debt Investors are distinguishable from Monetary Creditors by the presence of an investment decision in the business and some level of profit risk. The fully Secured Debt Investor negotiates for the minimal amount of profit risk and thus a smaller claim to profit. Although the Secured Debt Investor's risk is limited by the retention of a property right in the capital contributed, it is still subject to the risk of the loss, destruction, or depreciation of value of the assets allocated to its capital as well as some risk of future profits of the enterprise with respect to its claim for a profit payment (called interest in the modern context). The Unsecured Debt Investor has a greater risk than the Secured Debt Investor as it has not retained this property right but has bargained for less risk than the equity holders in that its claim to return of capital has priority. The Securitization Investor has invested capital, but not in the business as a whole. It has invested in an asset of the business, the accounts receivable. Its risk is limited to the risk of that specific asset actually producing a return, in our example, payment of accounts. In contrast to all of these, a Monetary Creditor is

⁶⁰ See, for example, Elizabeth Warren, "An Article 9 Set-Aside for Unsecured Creditors," *Consumer Finance Law Quarterly Report* 51 (1997): 323-27; John Hudson, "The Case against Secured Lending," *International Review of Law and Economics* 15 (1995): 47-63; Lynn M. LoPucki, "The Unsecured Creditor's Bargain," *Virginia Law Review* 80 (1994): 1887-965.

merely owed a sum of money arising on account of, for example, payment for goods or services, settlement of another type of transaction, or damages for harm caused. As a consequence, the Monetary Creditor is only entitled to its payment plus any damages caused by a delay in payment. It is the presence or absence of risk of expected future profit—even small future profit—that distinguishes a Debt Investor from a Monetary Creditor.

Much of contemporary commercial law, especially the law of secured credit, is consistent with traditional usury doctrine, which is not surprising as the current system developed on the shoulders of this history. Yet, some modification to the current priority system is necessary. Primarily, it would mean subordinating that portion of a secured creditor's claim to unpaid interest (or profit in the language originally used in applying usury doctrine) to Monetary Creditors. Because the claim to interest rests on a claim to a more or less secure claim to profit, there can be no claim where there is no profit. Monetary Creditors' claims are to the payment or repayment of money, and as a result, they are entitled to be paid before profit and capital guaranteeing that profit is distributed. Because the guaranty of profit represented by a security interest should be seen as a transfer of the right to capital of junior investors, this claim cannot be paid until that junior creditor is entitled to that capital.

Redeeming Our Future

Our current monetary and financial system differs much from that of ancient Israel or Rome or the flourishing civilization of the Middle Ages. Modern money and banking would be practically unrecognizable to our ancestors. The new system has created a mountain of indebtedness at all levels: government, business, and personal. Today the very creation of money is the creation of debt.

Despite these radical changes of circumstances, traditional Catholic usury doctrine stands as a testament that principles of justice remain unchanged. Demanding profit on money loans violates commutative justice and over time results in violations of distributive justice. As St. Thomas Aquinas understood, human laws cannot perfectly conform to natural justice. Due to difficulties in perfectly applying principles of justice, human law does not always prohibit all that the natural law forbids.⁶¹

⁶¹ ST II-II, q. 77, a. 1, ad. 1, and ST I-II, q. 96, a. 2.

Human laws may not in light of modern complexities be able to prohibit all unjust usury. It might make mistakes in properly distinguishing capital investment from usurious loans. Yet, the failure of human law to perfectly correspond to the absolute requirements of justice does not make legal usury just. As St. Thomas points out, even though human law leaves many things unpunished, we cannot escape the consequences of transgressing this higher law, for

the Divine law leaves nothing unpunished that is contrary to virtue. Hence, according to the Divine law, it is reckoned unlawful if the equality of justice be not observed . . . and he who has received more than he ought must make compensation.⁶²

Thus, even legally permitted usury is a violation of justice, the consequences of which are inescapable. For over a thousand years, civil and ecclesiastical law worked to minimize the consequences of injustice from usury. Beginning in the sixteenth century, the civil law began a long road ending in giving up this struggle in light of modern complexities. In the last century federal preemption accomplished the final surrender of American law to almost every form of usury. Although the Church has maintained fidelity to the same principles of natural and divine law that comprise the core of usury doctrine, her leaders have not vigorously proclaimed these principles from the house-tops in recent times. Passing allusions to the ancient doctrine maintain the intellectual link with the past, yet in practice, Church officials have reduced the once active engagement of the Church with the complexities of applying the principles to a faint whisper. Such extended tepidity has led to the incorrect conclusion by some that the Church has changed her doctrine. Yet, this book has shown the doctrine remains consistent across the centuries even if authorities shy away from applying it.

Skeptics may argue that principles developed in a different economic environment are irreconcilable with the modern economy. Traditional usury doctrine simply cannot function today, so it should be discarded. The rise of Islamic finance in recent decades, however, proves this objection incorrect. The Islamic approach to usury, which prohibits the charging of

⁶² ST II-II, q. 77, a. 1, ad. 1. Although in this context Aquinas is discussing just price doctrine, his observation is equally applicable to usury.

riba or profit on loans but permits profit sharing on investment in productive activities,⁶³ bears some similarities to the traditional Catholic doctrine⁶⁴ despite significant differences in application. Yet, modern financial institutions have invested vast resources in developing financial products that comply with Islamic principles. Islamic finance has grown over the past three decades in both Muslim countries and international financial markets and was estimated to include over \$200 billion in US dollars in managed assets in 2003.⁶⁵ Growth rates are estimated to be in excess of 15% a year.⁶⁶ As Constant Mews and Ibrahim Abraham note:

[T]he increasing trend for large conventional banks (Citibank, HSBC, UBS, Deutsch Bank, etc.) to offer *shari'a* compliant banking and investment products or even establishing Islamic institutions of their own is only going to continue, with the ethical discussions on usury and just compensation at the fore.⁶⁷

Big Wall Street banks have been willing to invest billions to conform their practices to Islamic moral norms because many Muslims have demanded they do so. This suggests that a similar moral consensus in America could produce similar results. These financial houses have not done so in the West, because the demand for justice has not been heard as loudly so far. Business ethicists Mews and Abraham explain:

What appears apparent, however, is that Christian financial corporations and ethicists have yet to provide a systematic approach to financial relationships and ethics for the modern economy that re-imagines and rearticulates

⁶³ Dr. Theodore Karasik, Frederic Wehrey, and Steven Strom, "Islamic Finance in a Global Context: Opportunities and Challenges," *Chicago Journal of International Law* 7 (2007): 383–85.

⁶⁴ *Ibid.*, 381.

⁶⁵ Umar F. Moghul and Arshad A. Ahmed, "Contractual Forms in Islamic Finance Law and Islamic Inv. Co. of the Gulf (Bahamas) Ltd. v. Symphony Gems N.V. and Ors.: A First Impression of Islamic Finance," *Fordham International Law Journal* 27 (2003): 150, 151. See also Karasik, Wehrey, and Strom, "Islamic Finance," 379.

⁶⁶ See Moghul and Ahmed, "Contractual Forms in Islamic Finance Law," 151.

⁶⁷ Constant J. Mews and Ibrahim Abraham, "Usury and Just Compensation: Religious and Financial Ethics in Historical Perspective," *Journal of Business Ethics* 72 (2007): 10.

core religious teachings on finance. Islamic financial institutions have spent over three decades developing financial products modelled [*sic*] for the modern economy that, never the less, incorporate and reference long-established religious ethics and prohibitions.⁶⁸

Returning to ancient principles is the way to redeem our future.

Until this happens, hard-working Americans live with this *de facto* abdication of leadership from both church and state, not separated in practice on this issue. Yet, the principles remain. Reestablishing the principles of usury doctrine as the foundation of our legal, economic, and monetary systems will not be easy. The Roman praetor Asellio began permitting debtors to raise in court the old Roman law prohibiting usury, which in practice had fallen into disuse. What was the consequence of his efforts to revive the ancient usury law? The money lenders killed Asellio in the Roman Forum.⁶⁹ Although killed in broad daylight and notwithstanding the reward and immunity offered by the Senate, nobody came forward with evidence or testimony; according to Appian, "[T]he money-lenders covered up everything."⁷⁰ Even if the work of resurrecting ancient principles of justice into practical rules of law would be complex and challenging and may take decades to complete, a great work can be done by at least preserving the principles. As Belloc noted more than three-quarters of a century ago:

Next it should be pointed out that there is all the difference in the world between a system in which an immoral principle is admitted and one in which, though the immorality is practiced, the principle is denied. There is, and presumably always will be, plenty of adultery, murder, swindling, and the rest, present in society; but the society in which the rights of property are admitted, in which marriage is sacred and to which the taking of human life is abhorrent, is very different from one where the sexes are promiscuous, or where Communism prevails, or where killing for private revenge or whim is an accepted pastime. . . . There is all the difference in the world between a society in which such lapses continue, or are even tolerated, and one in which they are called good.⁷¹

⁶⁸ *Ibid.*, 11.

⁶⁹ See Appian, *Bella Civilia*, lib. I, 54, trans. Horace White, Loeb Classical Library (Cambridge, Mass.: Harvard University Press, 1913).

⁷⁰ *Ibid.*

⁷¹ See Belloc, "On Usury," catholictradition.org/Classics/belloc2-2.htm.